Tesla, Inc.

TSLA NASDAQ

Hold	$387.10 ▲ 3.58%	12M Price Target	52-Week Range	Market Cap
		$420.00	$297.38 – $498.83	$1.53T

TSLA: Robotaxi Momentum Meets EV Credit Cliff

WHAT HAPPENED

- TSLA ripped +3.6% on solid volume, capping a 4-day run from $354 to $387 — that's a ~9% move in a week with no company-specific news or filings. When a stock moves like this on silence, it's usually either (a) sector flows (tech ETF was +1.86% today) or (b) positioning into a known catalyst. Options flow screams the latter — massive unusual call buying at $387.50 and $390 strikes expiring this week tells me traders are leaning into something near-term, likely the Q3 earnings print or Robotaxi/Optimus commentary.
- The put/call ratio of 0.71 (meaning way more bullish bets than bearish ones) plus 7x normal open interest on $387.50 calls is unusually aggressive — somebody with conviction is paying up for upside.

WHY IT MATTERS

Here's the big picture: Tesla is caught between two opposing forces right now. On one hand, the $7,500 federal EV tax credit officially expired September 30, 2025 under the "One Big Beautiful Bill" — that's a direct demand headwind for the core auto business heading into Q4 and 2026. On the other hand, the same administration is aggressively deregulating autonomous vehicles, which is a massive tailwind for Robotaxi — and that's where the trillion-dollar market cap is actually justified. The rally into earnings suggests the market is betting Musk delivers bullish Robotaxi expansion numbers (Austin, Bay Area, now Phoenix) that outweigh softer auto margins. If he does, this breaks $400 easily; if auto gross margins disappoint and Robotaxi guidance is vague, this gives back the week's gains fast.

POLICY & POLITICAL WATCH

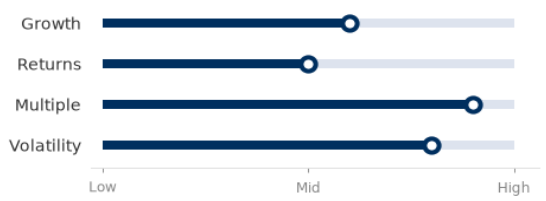
Two policies matter most right now: (1) The EV tax credit expiration is already hitting — Q3 US deliveries were front-loaded as buyers rushed before the deadline, meaning Q4 will show the real demand picture without the subsidy crutch. (2) NHTSA's framework for autonomous vehicles is getting friendlier under the current administration — the proposed federal AV standard would preempt the state-by-state patchwork that's slowing Robotaxi expansion, and that's a direct win for Tesla if it advances. Also watch China tariff talks — Tesla's Shanghai factory and Chinese battery supply chain are exposed to any escalation, and the administration has been unpredictable here.

IS IT EXPENSIVE?

Key Data

Price (USD)	**$387.10**
12M Price Target	**$420.00**
Upside / (Downside)	**+8.5%**
Market Cap	**$1.53T**
FY2026E Revenue	**$112M**
FY2027E Revenue	**$135M**
FY2026E EPS	**$2.45**
FY2027E EPS	**$3.60**
Fwd P/E	**158.0x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

TSLA — Tesla, Inc. | October 21, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$420.00**	$395.00	**$355.00**
6 Months	**$475.00**	$400.00	**$320.00**
1 Year	**$520.00**	$420.00	**$300.00**
2 Years	**$650.00**	$450.00	**$275.00**
5 Years	**$900.00**	$550.00	**$250.00**
10 Years	**$1500.00**	$700.00	**$200.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+1.86%) is leading on continued AI capex optimism; Industrials (+1.04%) catching a bid on infrastructure spending flows.

COOLING OFF: Materials (-0.08%) soft today despite being up on the week — commodity demand concerns creeping in.

ROTATION WATCH: Money's rotating back into mega-cap tech after a soft week — TSLA benefits as the "AI-adjacent" name in Consumer Discretionary that trades like tech. The 5-day Cons. Disc. gain of +4% tells you risk-on is back.

RELATED PLAY: If Robotaxi narrative keeps driving TSLA, watch LiDAR/sensor plays (though Tesla notoriously avoids LiDAR) and more importantly NVDA (chips powering AV compute) and the broader autonomous ecosystem — MBLY and even UBER (which just partnered with multiple AV platforms).

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): AI infrastructure spend keeps accelerating; every Robotaxi mile driven is a tailwind for their auto compute business.
- RIVN (Rivian): VW partnership milestones and software licensing deals making it a credible #2 US EV play as Tesla focuses on robotics.

TSLA CONTEXT: TSLA is leading its peer group this week — up ~9% in 5 days while the Cons. Disc. sector is up ~4%. That outperformance into earnings tells me expectations are now ELEVATED, which is a double-edged sword — the bar is higher, so even a decent print might not be enough.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: $340-360 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Robotaxi rollout stalls or auto gross margins drop below 15%

Hedging: Pair with long legacy auto (F/GM) or short QQQ on tech-wide risk

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